IN THE NATIONAL COMPANY LAW TRIBUNAL

NEW DELHI BENCH- V

CA (CAA) 22/230-232/ND/2022

IN THE MATTER OF:

Sections 230-232 of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016.

AND

IN THE MATTER OF SCHEME OF AMALGAMATION

AMONGST

1. M/S VENUS MANAGEMENT CONSULTANTS PRIVATE LIMITED
Plot No. 105, Block-A, Wazirpur Group IND Area,
New Delhi North West DL 110052
Email ID: g.daga@oswalcable.com

.....Transferor Company

WITH

2. M/S CRAWFORD SECURITIES PRIVATE LIMITED
Plot No. 105, Block-A, Wazirpur Group IND Area,
New Delhi North West DL 110052
Email ID: gauravdagal@gmail.com

.....Transferee Company

ORDER DELIVERED ON: 30.05.2022

CORAM:
MR. ABNI RANJAN KUMAR SINHA, HON'BLE MEMBER (JUDICIAL)

MR. HEMANT KUMAR SARANGI, HON'BLE MEMBER (TECHNICAL)

For Applicants: Adv. Iswar Mohapatra

ORDER

PER: MR. ABNI RANJAN KUMAR SINHA, MEMBER (Judicial)

1. This is an application filled by the Applicant Companies under Section 230 to 232 of the Companies Act, 2013 (for brevity "The Act") read with Companies (Compromises, Arrangements and Amalgamation) Rule, 2016 (for brevity "The Rules") in relation to the Scheme of Amalgamation (for brevity the "The Scheme") proposed between the Applicant Companies. In terms of Sections 230 and 232 of the Act, the following prayers have been made for orders:-

a) Dispensing with requirement for convening the meeting of the equity shareholders of the transferor and transferee companies and also to dispense with the requirement of issue and publication of notices of the same and appointment of chairman for the meetings;

b) Dispensing with requirement for convening the meeting of the unsecured creditors of the transferor company and transferee company in view of their 100 % consents and also to dispense with the requirement of issue and publication of notices of the same and appointment of chairman for the meetings;

c) Leave may please be granted for filing the final Joint Petition for sanction of the Scheme of Amalgamation;

d) Issue such other order or directions be given as this Hon'ble Tribunal may deem fit and proper in the facts and circumstances of the case.

2. That affidavits (@page 16-18 of the Application) in support of the application sworn for and on behalf of both the companies has been filed by Mr. Gaurav Daga, being the authorized signatories.

3. That vide affidavits dated 28.02.2022 (@page 19-20 of the Application), it is submitted that no pending inspection, investigation or proceedings against both the applicant companies under Section 210 of the Companies Act, 2013 and no prosecution has also been initiated against the director of the Compnay. It is further submitted that in this Scheme,

capital reduction is taking place as the shares held by the transferor company in the transferee company shall be cancelled.

4. That it is submitted that the proposed amalgamation is sought to be made under the provisions of Section 230 to 232 of the Companies Act, 2013 and the same if sanctioned by this Tribunal the appointed date as provided in the Scheme of amalgamation (@page 22-45 of the application) shall be **01.04.2021.**

5. That in relation to the Transferor Company, it has been represented that as on 30.11.2021, the company has 4 Equity Shareholders and consent affidavits from all the shareholders have been obtained constituting 100% in value and 100% in number. The consent affidavits of each of the members have been placed on record (@page 97-105 of the Application). It is further submitted that the Transferor Company has no Secured and Unsecured Creditors. The list of Secured and Unsecured Creditors of the Transferor Company to this effect has been place on record (@page 106-107 of the Application). In relation to the shareholders, the Transferor Company seeks dispensation from convening and holding of their respective meetings, on the ground that all of them have given their consent affidavits in favour of the Scheme.

6. That in relation to the Transferee Company, it has been represented that as on 30.11.2021, the company has 2 Equity Shareholders and consent affidavits from all the shareholders have been obtained constituting 100% in value and 100% in number. The consent affidavits of each of the members have been placed on record (@page 147-149 of the Application). It is further submitted that the Transferee Company has no Secured Creditor and 1 Unsecured Creditor whose consent have been obtained. The list of Secured and Unsecured Creditors of the Transferee Company to this effect has been placed on record (@page 150-151 of the Application). The consent affidavit of unsecured creditor has been placed on record (@page 152-153 of the Application). In relation to the shareholders and unsecured creditors, the Transferee Company seeks dispensation from convening and holding of their respective meetings, on

the ground that all of them have given their consent affidavits in favour of the Scheme.

7. We have heard the Ld. Counsel for the Applicant Companies and perused the averments made in the application and the connected documents filed along with the Scheme of Amalgamation contemplated between the Companies.

8. That the Transferor Company – M/S VENUS MANAGEMENT CONSULTANTS PRIVATE LIMITED was incorporated on 08.03.2010 under the provisions of Companies Act, 1956. The Transferor Company has its registered office in the state of Delhi. The authorised share capital of the Company is Rs. 2,00,000/- divided into 20,000 equity shares of Rs. 10/- each. The paid-up capital of the Company is Rs. 2,00,000/- divided into 20,000 equity shares of Rs. 10/- each fully paid up. (@page 6 of the Application).

9. That the Transferee Company – M/S CRAWFORD SECURITIES PRIVATE LIMITED was incorporated on 26.05.1995 under the provisions of Companies Act, 1956. The Transferee Company has its registered office in the state of Delhi. The authorised share capital of the Company is Rs. 1,85,00,000/- divided into 18,50,000 equity shares of Rs. 10/- each. The paid-up capital of the Company is Rs. 1,83,39,000/- divided into 18,33,900/- equity shares of Rs. 10/- each (@page 6 of the Application).

10. It is seen that the Board of Directors of all the transferor Company vide meetings held on 08.12.2021 have unanimously approved the proposed Scheme of Amalgamation. Copies of such resolutions passed have been placed on record (@page 61-65 of the Application).

11. That the Applicant Companies have filed the Audited Annual Accounts for the financial year ended 31.03.2021 and Provisional Balance Sheet as on 30.11.2021 (@page 80-95 and 126-145 of the Application).

12. That the Certificate of respective statutory auditor of the Applicant Companies have been placed on record confirming that the accounting treatment in the scheme is in conformity with Section 133 of the Companies Act, 2013 (@page 154-155 of the Application).

13. Valuation Report dated 25.11.2021 of all the Applicant Companies has also been placed on record. (@page 46-60 of the Application)

14. In sequel to the above, in our considered view, the Tribunal, in view of the settled law, is empowered to dispense with the meeting of shareholders if they have given their consent. Further, in view of Section 230(9) of the Companies Act, 2013, the Tribunal is empowered to dispense with calling of a meeting of creditors or class of creditors where such creditors or class of creditors, having at least ninety per cent value, agree and confirm, by way of affidavit, to the scheme of compromise or arrangement. Accordingly, the following directions are given: -

A. In relation to the Transferor Company:

i. With respect to Shareholders:

Since all the shareholders have already placed their consent-affidavits on record. Therefore, the necessity of convening and holding a meeting of shareholders is dispensed with.

ii. With respect to Secured Creditors:

Since there is no Secured Creditor. Therefore, the necessity of convening and holding a meeting does not arise.

iii. With respect to Unsecured Creditors:

Since there is no Unsecured Creditor. Therefore, the necessity of convening and holding a meeting does not arise.

B. In relation to the Transferee Company:

i. With respect to Shareholders:

Since all the shareholders have already placed their consent-affidavits on record. Therefore, the necessity of convening and holding a meeting is dispensed with.

ii. With respect to Secured Creditors:

Since there is no Secured Creditor. Therefore, the necessity of convening and holding a meeting does not arise.

iii. With respect to Unsecured Creditors:

Since the Unsecured Creditor has already placed his consent-affidavit on record. Therefore, the necessity of convening and holding a meeting of Unsecured Creditor is dispensed with.

15. Accordingly, in terms of the above order, CA (CAA) 22 (ND) of 2022 is allowed.

-Sd-

(HEMANT KUMAR SARANGI)
Member (T)

-Sd-

30.05.2022

(ABNI RANJAN KUMAR SINHA)
Member (J)